



**CH – 01**

# **ACCOUNTING BASICS**



(5)

# **USERS OF FINANCIAL STATEMENTS**



# **INTERNAL USERS OF FINANCIAL STATEMENTS**

# MANAGEMENT

**Management**  
should have access  
to all the financial  
information for  
decision making &  
control.





# EMPLOYEES

Employees need  
information  
about financial  
stability and  
profitability of  
the business.





# **EXTERNAL USERS OF FINANCIAL STATEMENTS**



## OWNERS/INVESTORS

Investors need information to decide whether to buy, hold or sell their investments.



# LENDERS

Lenders need information to assess the ability of the business to pay interest and loan.





# SUPPLIERS

Suppliers use information to assess how much credit they might safely allow to the business.



# GOVERNMENT

They might use information for the purpose of business regulations or deciding taxation policies.





# CUSTOMERS

Customers might be interested in the financial strength of the business for long term contracts.





# THE PUBLIC

General public  
might be  
interested to know  
employment  
potential and  
social  
contributions.



# FINANCIAL ADVISORS

They need  
information to  
advise their clients  
whether or not to  
invest in the  
shares of a  
business.





